ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 10

ACCOUNTING

PAPER 1

MARKS: 100 **TIME: 2 hours**

Topics: accounting concepts and the accounting equation, cash journals, VAT, the General Ledger and trial balance, salaries and internal control.

Written by Academic Central for practice, following the CAPS curriculum for Grade 10. The businesses and people are invented. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions. Show workings in brackets to earn part-marks.
2. Draw your own journals, ledger accounts and trial balance in your answer book using the correct headings and columns.
3. You may use a non-programmable calculator. Write neatly and legibly.

QUESTION 1: CONCEPTS AND THE ACCOUNTING EQUATION

1.1 Give ONE accounting term for each description.

1.1.1 Possessions of a business that have a money value (1)

1.1.2 Debts that the business owes to others (1)

1.1.3 The owner's interest (stake) in the business (1)

1.1.4 A document used as proof that a transaction took place (1)

1.1.5 Cash or goods taken by the owner for personal use (1)

1.2 The transactions below are for Sipho's Repair Shop. For each one, name the account debited and the account credited, and show the effect (+ or −, with the amount) on Assets, Owner's Equity and Liabilities.

(a) The owner, Sipho, increased his capital by depositing R50 000 into the business bank account.

(b) Bought equipment on credit from Tools Ltd for R12 000.

(c) Paid R3 500 for rent by EFT.

(d) Received R8 200 from customers for repair services.

(e) The owner withdrew R1 000 from the business bank account for personal use.

(5 × 4)
(20)

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QUESTION 2: CASH JOURNALS

The transactions below are for Lebo's Store for March 2026. The business sells goods at a mark-up of 50% on cost. Use these headings:

Cash Receipts Journal (CRJ): Doc | Day | Details | Analysis of receipts | Bank | Sales | Cost of sales | Sundry accounts (Amount, Details)
Cash Payments Journal (CPJ): Doc | Day | Name of payee | Bank | Trading stock | Wages | Sundry accounts (Amount, Details)

1 The owner, Lebo, deposited R30 000 into the business bank account as capital. Receipt 01.

3	Cash sales of goods, R6 000 (selling price). Cash register roll (CRR).
5	Paid rent of R4 500 to Rentals Ltd. EFT 101.
8	Bought trading stock from Mega Wholesalers, R9 000. EFT 102.
12	Received R1 800 rent from a tenant. Receipt 02.
15	Cash sales of goods, R4 500 (selling price). CRR.
20	Paid wages of R2 400. EFT 103.
25	Paid the telephone account, R650. EFT 104.
28	The owner withdrew R1 500 for personal use. EFT 105.

2.1 Record the relevant transactions in the Cash Receipts Journal for March 2026, and total the journal. (14)

2.2 Record the relevant transactions in the Cash Payments Journal for March 2026, and total the journal. (14)

2.3 The bank balance on 1 March 2026 was R0. Calculate the bank balance on 31 March 2026. (4)

2.4 Explain why a trading business records cost of sales every time goods are sold. (3)

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QUESTION 3: VAT, GENERAL LEDGER AND TRIAL BALANCE

3.1 An item costs R2 300, including 15% VAT. Calculate the VAT amount. (3)

3.2 An item costs R4 000, excluding VAT. Calculate the VAT payable at 15%. (2)

3.3 Use your journal totals from QUESTION 2 to prepare the Bank account in the General Ledger of Lebo's Store for March 2026. Balance the account. (6)

3.4 Prepare the trial balance of Lebo's Store on 31 March 2026. The balance of the Trading stock account is R2 000. All other balances come from your answers to QUESTION 2. (9)

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QUESTION 4: SALARIES AND INTERNAL CONTROL

4.1 Nomsa earns a basic salary of R12 000 per month. Her monthly deductions are: PAYE R1 080; UIF 1% of her basic salary; pension fund 7,5% of her basic salary; medical aid R1 500. The employer contributes 1% of her basic salary to UIF and 10% of her basic salary to the pension fund.

4.1.1 Calculate Nomsa's total deductions. (3)

4.1.2 Calculate Nomsa's net salary. (2)

4.1.3 Calculate the total monthly cost of employing Nomsa for the business. (4)

4.1.4 What is the purpose of UIF? (2)

4.2 Internal control and ethics.

4.2.1 Give TWO internal control measures a business can use to protect its cash. (4)

4.2.2 The owner of a business pays his personal electricity account from the business bank account and records it as a business expense. Explain why this is wrong. (3)

4.2.3 Name the accounting concept (GAAP principle) that says the business and the owner are separate. (2)

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TOTAL: 100

END OF QUESTION PAPER